

BUS63-11

Strategic Due Diligence

Commercial, competitive, operational, and integration-risk diligence on an M&A target, under time and information constraints

Interrogating the durability of what produces the numbers, not the numbers themselves.

Albert School — 22 hours

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1 Commercial due diligence: TAM / SAM / SOM

Strategic due diligence (DD) interrogates the durability of what produces a target's results — its competitive position, commercial base, operational feasibility, and announced synergies — as the complement to the financial DD that interrogates the quality of the historical numbers. It mobilises the S3→S4 toolkit (Five Forces, VRIO, DCF, unit economics) under M&A time and information constraints.

Definition 1

- **TAM** (total addressable market) — total demand for the product or service if every potential buyer were captured.
- **SAM** (serviceable addressable market) — the portion of TAM the target can serve given its model, geography, and channel.
- **SOM** (serviceable obtainable market) — the portion of SAM the target can realistically obtain given competition and execution capacity.

A market sizing is done **honestly** when the **real addressable market** is distinguished from **management's claimed market**: management's figures are treated as claims to be tested, not as inputs.

Definition 2 Source triangulation corroborates a sizing across independent sources:

- **primary sources** — evidence the analyst gathers directly (customer interviews, channel checks, expert calls);
- **secondary sources** — pre-existing published data (industry reports, filings, statistics).

An estimate is credible only where primary and secondary sources converge.

Common pitfall An **unverifiable growth assumption** is a growth driver in management's model that no available primary or secondary source can confirm. Such assumptions must be identified and flagged explicitly rather than carried into the valuation.

Exercises

1. Evaluate TAM / SAM / SOM on a named target, distinguishing the real addressable market from management's claimed market, using primary and secondary source triangulation.
2. Identify the growth assumptions in the target's model that no source can verify.

2 Commercial-quality analysis

Definition 3 A **commercial-quality analysis** assesses the durability of the target's revenue base through:

- **pipeline maturity** — the quality and stage-distribution of the sales pipeline, not just its headline value;
- **historical conversion rates** — the rate at which pipeline opportunities have historically converted to revenue;
- **customer concentration** — the dependence of revenue on a small number of clients.

Definition 4 **Customer-concentration impact**: the revenue at risk if the **top 3–5 clients** exit post-deal, quantified as the share of revenue (and of margin) those clients represent. High concentration is a standalone transaction risk because a single departure can invalidate the deal thesis.

Exercises

3. Conduct a commercial-quality analysis on a target: pipeline maturity, historical conversion rates, and customer concentration.
4. Quantify the revenue impact if the target's top 3–5 clients exit post-deal.

3 Cohort-based churn analysis

Definition 5 A **cohort** groups customers by the period in which they were acquired. **Cohort-based churn analysis** tracks the retention of each cohort over time, so that retention is read per acquisition vintage rather than as a single blended rate.

Definition 6 In a churn analysis:

- **structural attrition** is churn driven by the model or product itself (persistent across cohorts and conditions);
- **cyclical attrition** is churn driven by transient external conditions.

The two are distinguished because only structural attrition persists post-deal, and the **underlying retention drivers** must be identified.

Exercises

5. Model cohort-based churn on a target.
6. Distinguish structural from cyclical attrition and identify the underlying retention drivers.

4 Competitive-position stress testing

The competitive frameworks from BUS33-2 (Five Forces, VRIO) are applied here in a **transactional context** under time and information constraints: the question is not the target's position today but whether that position survives after the acquisition.

Definition 7 **Competitive-position stress testing** applies **Five Forces** (industry structure) and **VRIO** (durability of the target's resources and capabilities) to a target as an acquisition, identifying the **two to three most probable post-acquisition competitive threats** — the competitor responses or structural shifts most likely to materialise once the deal is known.

Each identified threat is carried through to its **financial impact**: the effect on revenue, margin, or valuation if the threat materialises.

Exercises

7. Stress-test a target's competitive position using Five Forces and VRIO in a transactional context under time and information constraints.
8. Quantify the financial impact of the two to three most probable post-acquisition competitive threats.

5 Operational-feasibility due diligence

Definition 8 **Operational-feasibility DD** tests whether the target's operations can deliver the deal thesis, examining:

- **bottlenecks** — the constraints that cap throughput;
- **supplier concentration** — dependence on a small number of suppliers;
- **capacity to absorb projected growth** — whether operations can scale to the plan;
- **IT technical debt** — accumulated shortcuts in systems that raise the cost of future change.

Each operational finding is **tied to a valuation or integration consequence**: a bottleneck or a concentrated supplier is reported together with its effect on value or on the integration plan, not as a standalone observation.

Exercises

9. Conduct operational-feasibility DD on a target: identify bottlenecks, supplier concentration, capacity to absorb projected growth, and IT technical debt.
10. Tie each finding to a valuation or integration consequence.

6 Synergies as testable hypotheses

Definition 9 A **synergy** is value created by combining acquirer and target beyond their standalone sum. Synergies are treated as **testable hypotheses**, each stated with the mechanism that produces it and the evidence that would confirm it:

- **cost synergies** — savings from eliminating duplicated costs;
- **revenue synergies** — additional revenue from the combination (cross-selling, expanded reach).

Definition 10 A **synergy-realisation rate** is the documented fraction of projected synergies actually achieved post-deal (per McKinsey / Bain evidence). Cost and revenue synergies carry **different base rates** — revenue synergies realise less reliably than cost synergies — and each projected synergy is evaluated against the realisation base rate for its type.

Exercises

11. Construct a synergy projection as a testable hypothesis, distinguishing cost from revenue synergies.
12. Evaluate the projection against documented M&A synergy-realisation rates (McKinsey / Bain), stating the realisation base rate for each type.

7 Acquirer cognitive biases

Definition 11 Cognitive biases operating in the **acquirer's** synergy model:

- **hubris** — overconfidence in the acquirer's ability to improve the target;
- **winner's curse** — the tendency of the winning bidder in a competitive process to have overpaid.

Definition 12 A **counter-test** is a check designed to surface a bias in the numbers — e.g. testing whether projected synergies exceed realisation base rates (hubris), or whether the winning price exceeds independent valuation (winner's curse) — so that the bias becomes visible in the model rather than remaining implicit.

Exercises

13. Identify acquirer cognitive biases (hubris, winner's curse) operating in a synergy model.
14. Design counter-tests that surface those biases in the numbers.

8 Integration risk as a standalone strategic risk

Definition 13 **Integration risk** is the risk that combining the two organisations destroys value, treated as a **standalone strategic risk** rather than a residual. Its sources include:

- **cultural shocks** — incompatibility between the two organisations' cultures;
- **key-talent retention** — the departure of people the deal thesis depends on;
- **competing priorities** — integration contending with the ongoing business for attention;
- **organisational fatigue** — the erosion of capacity to absorb change.

The diagnosis specifies the **post-deal mechanisms** through which integration typically **erodes value** — the concrete paths (talent loss, distraction, culture clash) by which projected value fails to materialise.

Exercises

15. Diagnose integration risk as a standalone strategic risk on a target — cultural shocks, key-talent retention, competing priorities, organisational fatigue.
16. Specify the post-deal mechanisms through which integration typically erodes value.

9 Cross-pillar integration and the strategic DD recommendation

The full transaction analysis is staged by mobilising the cross-pillar tools — Corporate Finance Leadership and Strategic Allocation — alongside the commercial, competitive, and operational diligence above.

Definition 14 A **strategic DD recommendation** integrates the commercial, competitive, and operational conclusions into a single verdict:

- **go** — proceed with the transaction;
- **conditional-go** — proceed only if specified conditions are met;
- **no-go** — do not proceed.

It is produced on a real target under time constraint and **defended before a mock investment committee**.

A complete strategic DD recommendation integrates:

1. **commercial** conclusions — honest TAM / SAM / SOM, pipeline and conversion quality, customer concentration, cohort churn;
2. **competitive** conclusions — Five Forces and VRIO stress test with quantified post-acquisition threats;
3. **operational** conclusions — bottlenecks, supplier concentration, capacity, IT technical debt, each tied to a consequence;
4. a synergy assessment against realisation base rates and an integration-risk diagnosis;
5. a **go / conditional-go / no-go** verdict with explicit identification of the **three most probable transaction failure modes**.

Exercises

17. Mobilise Corporate Finance Leadership and Strategic Allocation to stage the full transaction analysis on a real target.
18. Produce and defend a complete strategic DD recommendation (go / conditional-go / no-go) before a mock investment committee, integrating commercial, competitive, and operational conclusions with explicit identification of the three most probable transaction failure modes.